

One should also be aware that:

- If sellers face large switching costs, the buyer's power is enhanced. This is especially true if the switching costs for buyers are low.
- If buyers have achieved partial backward integration, sellers face a threat as they may become fully integrated.
- If buyers are well informed about trends and details they are in a better position *vis-a-vis* sellers as they can ensure they do not pay more than they need to.
- If a product represents a significant portion of the buyers' cost, buyers would strongly attempt to reduce prices.
- If a product is standard and undifferentiated, the buyer's bargaining power is enhanced.
- If the buyer's profits are low, the buyer will try to reduce prices as much as possible.

In short, an industry that is dictated by buyers is usually weak and its profitability is under constant threat.

Bargaining Power of the Suppliers

An industry unduly controlled by its suppliers is also under threat. This occurs when:

- The suppliers have a monopoly, or if there are few suppliers.
- Suppliers control an essential item.
- Demand for the product exceeds supply.
- The supplier supplies to various companies.
- The switching costs are high.
- The supplier's product does not have a substitute.
- The supplier's product is an important input for the buyer's business.
- The buyer is not important to the supplier.
- The supplier's product is unique.

Rivalry Among Competitors